AGA KHAN UNIVERSITY EXAMINATION BOARD

SECONDARY SCHOOL CERTIFICATE

CLASS X EXAMINATION

APRIL/ MAY 2018

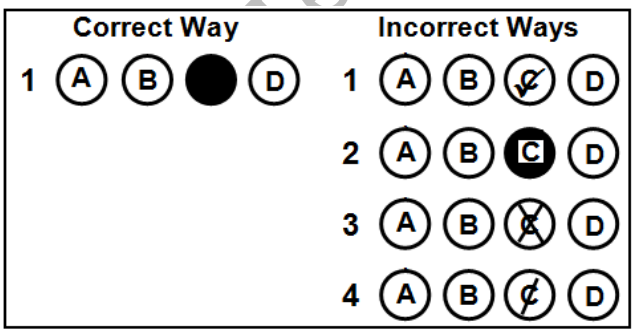
Business Studies Paper I

Time: 35 minutes Marks: 25

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INSTRUCTIONS

1. Read each question carefully.
2. Answer the questions on the separate answer sheet provided. DO NOT write your answers on the question paper.
3. There are 100 answer numbers on the answer sheet. Use answer numbers 1 to 25 only.
4. In each question there are four choices A, B, C, D. Choose ONE. On the answer grid black out the circle for your choice with a pencil as shown below.



Candidate's Signature

5. If you want to change your answer, ERASE the first answer completely with a rubber, before blacking out a new circle.
6. DO NOT write anything in the answer grid. The computer only records what is in the circles.
7. You may use a simple calculator if you wish.

1. All of the following are the features of private cooperative business EXCEPT

   A. equal voting rights for all members.
   B. profit is shared on the basis of investment.
   C. every member helps in running the business.
   D. members pool in their resources to work collectively.

2. In order to increase its revenue, the government of country X has increased the rate of indirect tax on food items.

   The burden of this indirect tax will be borne by

   A. retailer.
   B. consumer.
   C. wholesaler.
   D. manufacturer.

3. In order to cope up with the deficit balance of payment in a country, the government is planning to increase exports.

   The MOST appropriate step of the government in this regard would be to

   A. increase export duties.
   B. increase import duties.
   C. decrease export duties.
   D. decrease import duties.

4. Pakistan is suffering from a trade deficit due to a low demand for its export in foreign countries and increased imports locally. The trade deficit increased to US $ 3.946 billion in 2010. (*Economic Survey of Pakistan 2011*)

   The above statement indicates

   A. inflation in Pakistan.
   B. economic boom in Pakistan.
   C. negative balance of trade in Pakistan.
   D. positive balance of payment of Pakistan.

5. Mansha Group of Industries bought 51% of the shares of Adamjee Insurance Company and became the controlling authority. Hence, Adamjee Insurance Company became a part of Mansha Group of Industries. This is an example of

   A. merger.
   B. synergy.
   C. take over.
   D. internal growth.

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6. Amna is a baker. Due to limited resources, she bakes the white bread loaves first, then she bakes whole wheat bread loaves and lastly, she prepares cheese pan cakes for her customers.

In the given scenario, the production method used is

A. job production.
B. flow production.
C. mass production.
D. batch production.

7. The given table provides the quarterly production details of Alpha Steel during the year 2017 in quarters.

Quarter	Number of Labours Employed	Total Output (in Tons)
1	42	480
2	40	400
3	50	550
4	45	470

The quarter in which the labour productivity was maximum is

A. 1st quarter.
B. 2nd quarter.
C. 3rd quarter.
D. 4th quarter.

8. All of the following are the advantages of the use of technology in business EXCEPT

A. rapid change in technology results in obsolescence of old machines.
B. large amount of information is readily available for decision making.
C. fewer workers will be needed with specific skills for better production.
D. less use of paper because of increased use of computers and other machines.

9. Ahmed Builders and Developers has announced the launch of a new housing scheme in a city. In this scheme, all the houses will be of same design but this new design will be different from their previously designed housing schemes.

The production method used by Ahmed Builders and Developers is known as

A. job production.
B. flow production.
C. mass production.
D. batch production.

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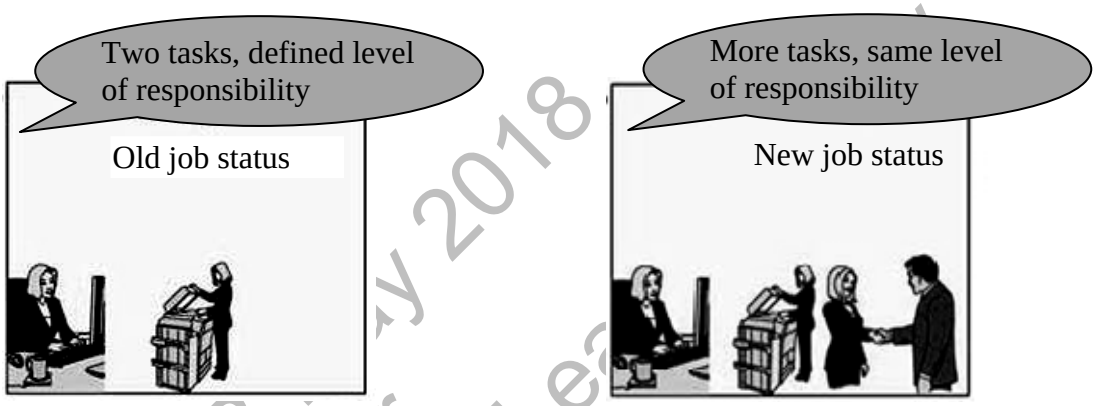
10. The following was observed during a survey of a production house.

- Workers work with the motivation of self-fulfillment.
- Most of the workers seek opportunities to prove their abilities.
- Workers work to implement decisions made through mutual consensus.

According to Mc Gregor's theory of management, which leadership style can be used in the given situation?

A. Autocratic
B. Democratic
C. Laissez faire
D. Transactional

11.



The above pictures show that there has been a change in job nature from picture 1 to picture 2. This change in job nature will be termed as

A. job rotation.
B. job enrichment.
C. job satisfaction.
D. job enlargement.

12. Nadeem has been hired as a worker in an industry. His work agreement states that he will be paid fixed amount for each unit he produces.

The type of wage that Nadeem will receive is known as

A. time rate.
B. piece rate.
C. fixed salary.
D. bonus salary.

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13. The Board of Directors (B.O.D) represents the key members of a company's management.

Recently B.O.D of Ramchand and Company has decided to open a new franchise of Ramchand's product in London, UK. The decision taken by the board of directors is known as

A. tactical decision.
B. strategic decision.
C. short term decision.
D. operational decision.

14. ABC Company announced that it will offer an incentive to all workers who are working with the firm for more than 20 years. They will be awarded a golden hand shake for early retirement in terms of 50% excess provident fund and 25% increase in their pension with a special incentive.

In the above scenario, the step undertaken by the company towards the removal of its employees can be classified under

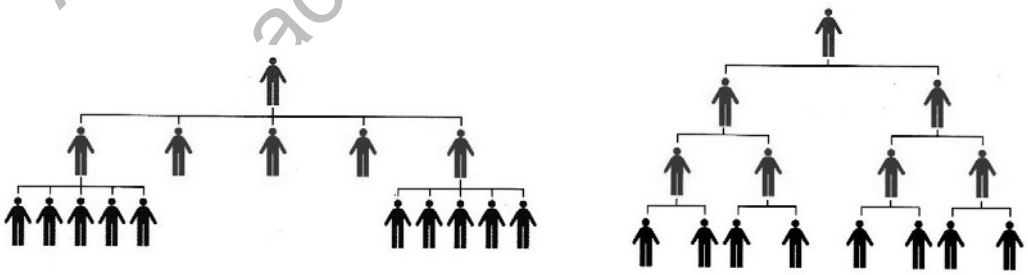
A. dismissal.
B. retirement.
C. resignation.
D. redundancy.

15. Rubina has recently joined a trade union that represents the people working in an office including management and professional staff.

The type of trade union joined by Rubina is known as

A. craft union.
B. general union.
C. industrial union.
D. white-collar union.

16.



Business A Business B

With reference to span of control and chain of command, the given organisational chart of business 'A' has

A. wider span of control and longer chain of command as compared to business B.
B. wider span of control and shorter chain of command as compared to business B.
C. narrow span of control and longer chain of command as compared to business B.
D. narrow span of control and shorter chain of command as compared to business B.

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17. A type of decentralisation in which the authority is divided between groups of related products under a single brand is known as

A. federal decentralisation.
B. regional decentralisation.
C. functional decentralisation.
D. project based decentralisation.

18. A specialised financial market participant that manages the investment money pooled from various investors to purchase securities is known as

A. mutual funds.
B. merchant banks.
C. commercial banks.
D. insurance companies.

19. Aisha is an owner of a restaurant. She is looking for an external source of finance for expanding her business.

The MOST appropriate external source of finance for Aisha will be by

A. investing her own savings.
B. borrowing money from a friend.
C. issuing new shares of the business.
D. utilising last year's business profit.

20. The details given below represent the summary of cash account of Mr Aleem.

Details	Amount (Rs)
Balance of cash at January 01, 2017	150,000
Sales revenue during the year	300,000
Salaries paid during the year	20,000
Rent paid during the year	30,000

The amount of cash on December 31, 2017 will be

A. Rs 400,000
B. Rs 440,000
C. Rs 470,000
D. Rs 500,000

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21. The following information has been extracted for the records of Nadia Bridal Store for the month ended March 31, 2018.

Particulars	Quantity	Rate per unit (Rs)
Dresses purchased on cash	50	400
Dresses sold for cash	45	600

The net cash flow of Nadia Bridal Store for the month of March will be

A. Rs 7,000
B. Rs 20,000
C. Rs 27,000
D. Rs 47,000

22. Rafiq is conducting a research for his B.Sc in Health Sciences program. In his research, he is interviewing various owners of school canteens to explore information about the number of soft drinks being purchased by school children.

With reference to type of data and research, the information gathered by Rafiq is

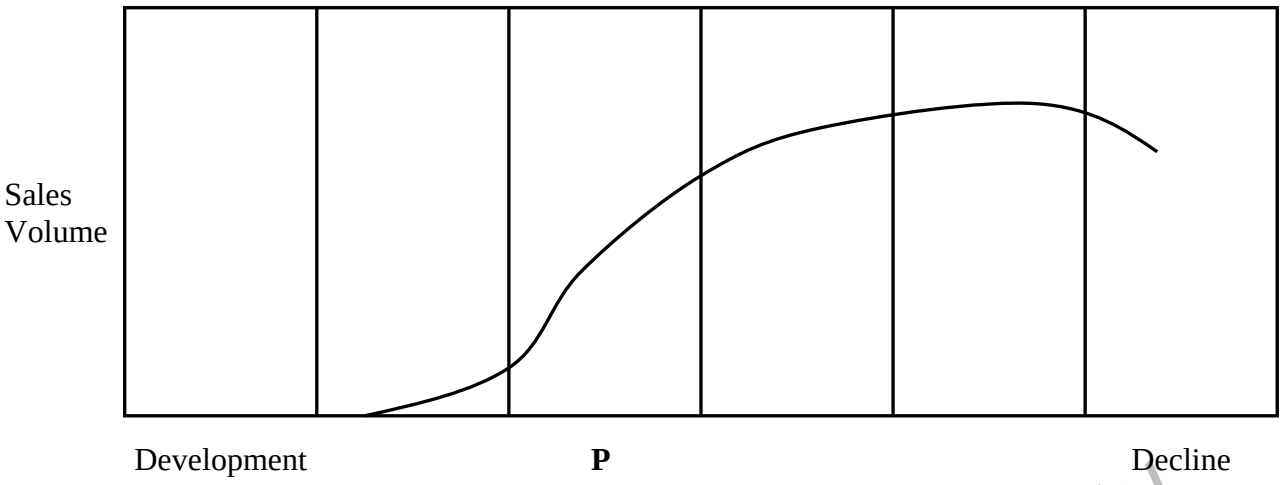
A. qualitative and primary.
B. quantitative and primary.
C. qualitative and secondary.
D. quantitative and secondary.

23. Which of the following is NOT a part of marketing plan of a multinational company?

A. Employee's benefit
B. Budget of the business
C. Targets set by the business
D. Aims achieved by the business

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24.



In the given product life cycle, the region '**P**' represents the phase of

A. growth.
B. maturity.
C. saturation.
D. introduction.

25. In order to increase its market share in UAE, a Pakistan-based company is planning to export goods to UAE at prices lower than in its own country.

This trade activity is considered as

A. quota.
B. tax slab.
C. dumping.
D. transfer pricing.

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END OF PAPER

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